# Procure-to-Pay (P2P) Cycle Implementation in SAP MM

**Name:** POOJA MAHATO
**Roll No:** 23051932
**Batch:** 2023

---

## Problem Statement

In manufacturing organizations, efficient procurement of raw materials and timely vendor payments are critical. Manual processes often lead to delays, errors, and lack of transparency. There is a need for an integrated system that streamlines procurement activities, ensures proper inventory management, and facilitates accurate financial transactions.

This project focuses on implementing an automated Procure-to-Pay (P2P) cycle using SAP MM integrated with SAP FI to improve efficiency, accuracy, and visibility in procurement operations.

---

## Solution

The solution involves implementing a structured Procure-to-Pay (P2P) process using SAP MM (Materials Management) integrated with SAP FI (Financial Accounting). The system automates the complete procurement lifecycle starting from purchase requisition to vendor payment.

SAP MM handles procurement and inventory management, while SAP FI manages invoice verification and payment processing. This integration ensures real-time data flow, reduces manual errors, and improves decision-making.

---

## Process Flow

Purchase Requisition → Purchase Order → Goods Receipt → Invoice Verification → Payment

This flow represents the complete procurement lifecycle from identifying a requirement to making payment to the vendor.

---

## Detailed Process Explanation

## 1. Purchase Requisition (PR)

A Purchase Requisition is an internal document used to request the procurement of materials or services. It is created by departments within the organization when there is a requirement for raw materials.

It does not involve any external vendor but serves as the starting point of the procurement process.

---

## 2. Purchase Order (PO)

A Purchase Order is a formal document sent to a vendor to procure materials. It contains details such as quantity, price, delivery date, and terms and conditions.

The PO is created based on the approved Purchase Requisition and represents a legal agreement between the company and the vendor.

---

## 3. Goods Receipt (GR)

Goods Receipt is the process of receiving materials from the vendor. Once the materials are delivered, they are inspected and recorded in the system.

This step updates the inventory and generates accounting entries in the system, ensuring accurate stock levels.

---

## 4. Invoice Verification

Invoice Verification involves checking the vendor’s invoice against the Purchase Order and Goods Receipt. This ensures that the quantity and price mentioned in the invoice match the agreed terms.

This step is crucial to avoid discrepancies and incorrect payments.

---

## 5. Payment

Once the invoice is verified, the payment is processed through SAP FI. The finance department releases the payment to the vendor as per the agreed payment terms.

This completes the Procure-to-Pay cycle.

---

## SAP Configuration Steps

## Organizational Structure

- Creation of Company Code
- Creation of Plant
- Creation of Storage Location
- Assignment of Plant to Company Code
- Creation of Purchasing Organization
- Assignment of Purchasing Organization to Company Code

These elements define the structure of the organization in SAP.

---

## Master Data Creation

- **Material Master:** Stores information about materials such as description, unit, and price
- **Vendor Master:** Contains details about vendors including address and payment terms
- **Purchasing Info Record:** Maintains relationship between vendor and material

Master data ensures consistency and accuracy in transactions.

---

## Screenshots

**Figure 1:** Purchase Requisition Screen (ME51N)

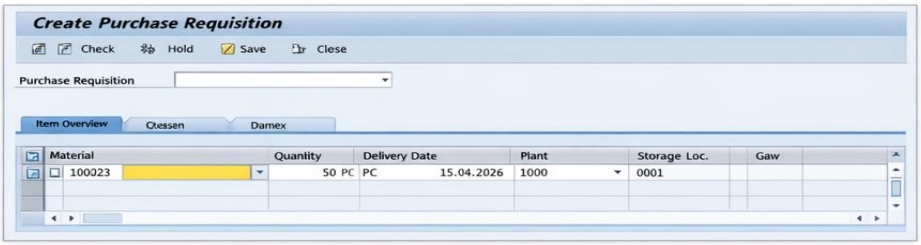


**Figure 2:** Purchase Order Screen (ME21N)

**Figure 3:** Goods Receipt Screen (MIGO)

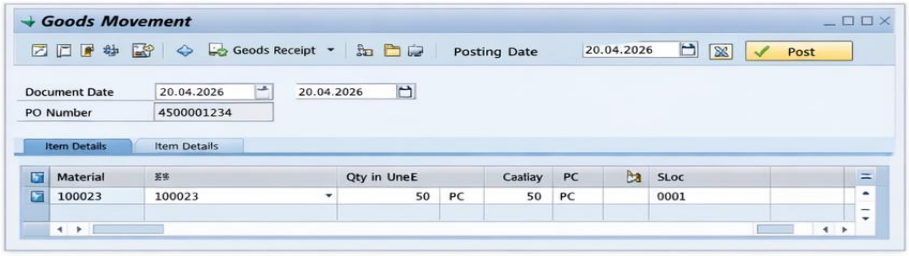

**Figure 4:** Invoice Verification Screen (MIRO)

---

## Tech Stack

- SAP MM (Materials Management)
- SAP FI (Financial Accounting)
- Microsoft Word (Documentation)
- GitHub (Project Hosting)

---

## Unique Points

- Implementation of end-to-end Procure-to-Pay cycle
- Real-world business scenario simulation
- Integration between procurement and finance modules
- Improved efficiency and reduced manual errors

---

## Future Improvements

- Integration with advanced analytics tools for better insights
- Automation using artificial intelligence and machine learning
- Vendor performance evaluation system
- Real-time reporting dashboards

---

## Conclusion

The Procure-to-Pay cycle implemented using SAP MM and SAP FI provides a comprehensive solution for managing procurement processes efficiently. It ensures

better coordination between departments, improves data accuracy, and enhances overall business performance.

This project demonstrates how automation and system integration can significantly improve operational efficiency in a manufacturing organization.